

FREIGHT AND DISTRIBUTION AGREEMENT

THIS AGREEMENT is made on 1 May 2024 BETWEEN:

- (1) MWANGI FOODS LIMITED, a company incorporated in Kenya under company number C.12/2011, whose registered office is at Enterprise Road, Industrial Area, Nairobi ("the Company"); and
- (2) LORI SYSTEMS LIMITED, whose registered office is at Riverside Drive ("the Counterparty").

RECITALS

- A. The Company wishes to procure primary haulage between Thika and Mombasa.
- B. The Counterparty has represented that it is able and willing to provide the same on the terms set out below.

1. DEFINITIONS

- 1.1 "Services" means primary haulage between Thika and Mombasa.
- 1.2 "Business Day" means a day other than a Saturday, Sunday or a public holiday in Kenya.

2. TERM AND RENEWAL

- 2.1 This Agreement commences on 1 May 2024 (the Effective Date) and expires on 30 April 2026 unless terminated earlier under clause 7.
- 2.2 The term shall renew automatically for successive periods of twelve (12) months unless either party gives ninety (90) days written notice of non-renewal before the expiry date.

3. CONSIDERATION

- 3.1 The total contract value is KES 2,100,000 exclusive of VAT.
- 3.2 Payment shall be made within 30 days of a valid invoice.
- 3.3 Late payment attracts interest at 2% per month.

4. OBLIGATIONS OF THE COUNTERPARTY

- 4.1 The Counterparty shall deliver the Services at Mombasa.
- 4.2 The Counterparty shall maintain product liability insurance of not less than KES 10,000,000 throughout the term.
- 4.3 The Counterparty shall submit a quarterly performance report within fourteen (14) days of each quarter end.

5. CONFIDENTIALITY

- 5.1 Each party shall keep confidential all information disclosed by the other and shall not use it other than for this Agreement.

6. LIABILITY

- 6.1 Neither party excludes liability for death, personal injury or fraud. Otherwise each party liability is capped at the total consideration paid in the preceding twelve months.